

The same could be said for investment opportunities. If a project can't be explained to a man standing on one leg, it isn't a good investment. All the rest is detail.

Likewise (true in business, as well as investment), if the deal itself requires a lot of paperwork, it probably isn't worth doing. The deal—investment or business—has to be simple. There can be a lot of detailed paperwork behind it, but the basic deal must be simple enough that you can remember it.

Notes

1. Tyler Cowen, "The Inequality that Matters," *American Interest*, January/February 2011.
2. Gary P. Brinson, L. Randolph Hood, et al. "Determinants of Portfolio Performance," *Financial Analysts Journal*, July/August 1986.
3. Roger G. Ibbotson and Paul D. Kaplan, "Does Asset Allocation Policy Explain 40%, 90%, or 100% of Performance?" *Financial Analysts Journal*, January/February 2000.
4. Jeffrey Snider, "Wall Street's Random Walk Doesn't Exist," *Real Clear Markets* (blog), June 3, 2011, www.realclearmarkets.com/articles/2011/06/03/wall_streets_random_walk_doesnt_exist_99056.html.
5. Martin Conrad, "The Money Paradox," *Barron's*, December 31, 2011.
6. Kevin Bambrough, "Oil or Not, Here They Come," *Markets at a Glance*, Spratt Asset Management, October 2011.